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1. Introduction and motivation

This work is focused on the ethical, social, and governance context of one of the most influential Technology organisations over the last 20 years. Enabled by a well sustained leadership in the social media landscape, Meta Platforms Inc. (previously known as Facebook Inc.) leads the race on highly influential digital channels: Facebook, WhatsApp and Instagram. By the time of the writing of this assessment, Meta had been on the news very recently based on the controversial decision of laying off several employees across their global operations, and simultaneously, increase significantly the compensation packages of the executive leadership board (Business Insider, 2025). A similar restructuring context occurred in 2023 (Sorkin, 2023); conversely, back then this led to overall long-term good financial performance as expected by the decision makers. While these decisions might be controversial, their argument is to provide long lasting corporate and tech leadership, as it has been the case for similar technology organisations (ABC News, 2024).

Motivation

A key driver of my career is network-based representations, which model complex systems in social, financial, and economic contexts. Meta innovates on these areas, not just as a digital platform but as a powerful network shaping influence, marketing, and public opinion, rapidly transforming societal, political, and economic dynamics. Following the instructions of the assessment, it will be covered the organisation's board leadership structure and ownership; its compensation structure and situation; the general context in which it operates; relevant social and ethical issues derived from its policies of AI; internal control systems and relationships with stakeholders.

Structure of this assessment

The structure of this work is as follows: Firstly, the discussion examines Meta's leadership, corporate governance, and financial compensation policies, assessing their alignment with ethical and strategic objectives. Secondly, it evaluates employee relations, focusing on structural changes, talent disruption, and retention strategies to ensure workforce stability despite layoffs. Thirdly, the document explores stakeholder engagement, highlighting communication, transparency, and ethical considerations related to AI governance and misinformation. Subsequently, the analysis addresses corporate governance controls, distinguishing between internal mechanisms—such as board oversight, audits, and risk management—and external controls, including shareholder activism, regulation, and independent audits. Lastly, the conclusion outlines recommendations for ensuring long-term credibility and success for all parties, reinforcing Meta's mission.

In the upcoming sections, the Corporate Governance and Ethics course will be referred as "the course", Meta Platforms, Inc. will be referred as Meta. Relevant online sources material is referred following Harvard Style (Pears, R. and Shields, 2022).

2. Discussion

Meta Platforms, Inc. has been one of the world's most influential technology companies, covering social media, artificial intelligence, and virtual reality. However, its leadership, ethical practices, and corporate governance have faced intense scrutiny. The company's executive compensation, workforce management, and sustainability efforts have raised critical concerns regarding ethical decision-making and governance, specially reflected in recent news as mentioned in the introduction. The following sections discuss Meta's corporate leadership, financial compensation, ethical considerations on AI, governance structure, and sustainability commitments.

2.1 Board Leadership and Compensation

Meta's governance structure is highly centralised since it was originally created as a startup with strong Founder's ownership. Mark Zuckerberg the main founder, retains significant control through dual-class shares according to Kirkpatrick (2010, p. 215). Dual-class shares as introduced during the course (Learmount & Stiles, 2025b) have characterised highly successful Tech IPOS offering about 10x of the voting rights than public Class A shares. Hence, it gives significant control to the main founder. Unlike companies with more independent board oversight, Meta's founder-centric leadership seems to be limiting accountability as suggested by Galloway (2020, p. 127). This model aligns with the assertion from Greene (1998, p. 54) that power consolidation can both protect and hinder a leader's long-term influence.

Meta's Board of Directors includes figures from technology and business sectors, with relatively less shares ownership than other technology companies due to the shares distribution mentioned previously. It is reported that governance issues persist, particularly regarding executive remuneration policies according to Lazonick, (2014, p. 33). The Compensation, Nominating, and Governance Committee (CNGC) recently approved substantial executive bonuses despite declining employee job security (SFGate, 2025). More specifically, it approved executive bonuses up to 200% of salaries while simultaneously conducting mass layoffs. This raises concerns about corporate fairness, as job cuts affect lower-level employees while executives receive increased financial incentives. Consequently, Meta's leadership and stakeholders should communicate how these measures will translate into specific results over 2025.

As discussed in the first unit of the course, excessive compensation for company executives might lead to potential long-term risks (Learmount & Stiles, 2025a). These decisions have been criticised for prioritising short-term stock performance over long-term employee stability as summarised by Lipton & Rosenblum (2022, pp. 22-37). Doerr (2018, p. 76) argues that aligning executive compensation with long-term objectives, as outlined in OKRs (Objectives and Key Results), could mitigate such governance challenges. In this case the OKRs for the Board of Directors could be related towards financial outcomes, stakeholder engagement and consistent

behaviour with Meta's mission: *"to give people the power to build community and bring the world closer together"* (Meta, 2021).

2.2 Employee Relations

Structural changes

Meta's handling of employee relations has been controversial, with mass layoffs over previous years. This according to Bail (2021, pp. 47-62) challenges its commitments to workforce development. Reports indicate how employees might perceive these actions, particularly considering restructuring efforts focused on reducing operational costs (NYPost, 2025). This reflects the importance of learning from organisational failure, as outlined by Edmondson (2011, p. 5), who emphasises the need for leadership to foster a learning culture rather than one of job instability.

Talent Disruption

Talent disruption remains a challenge for Meta, as its rapid technological advancements create internal disruptions. Groysberg, Bhogal, and Mathews (2020, p. 86) argue that firms must assess whether retaining top talent is worth the effort or if new leadership can drive innovation. Moreover, Maxwell (2007, p. 22) stresses that talent alone is insufficient; a supportive corporate culture is essential for sustainable success. Stakeholder capitalism, as covered in the course (Learmount & Stiles, 2025d), could play a critical role in shifting corporate focus from short-term profitability to long-term stakeholder engagement.

Talent retention

Based on the provided context, it is crucial for Meta to implement strategies that support and engage remaining employees. Providing opportunities for employees to learn new technology and upskill themselves through training and development programmes can enhance their sense of value and commitment to the organisation. Creating an environment that encourages open communication, and the sharing of ideas further fosters engagement and loyalty (Advanced, 2024). Additionally, offering support for employee health and wellbeing plays a crucial role in retention strategies, as employees are more likely to remain with an organisation that demonstrates genuine concern for their overall welfare (HR News, 2024). By investing in employee development and well-being, Meta can maintain a motivated workforce, this can work posterior to the commented workforce reductions.

2.3 Stakeholder engagement

To address corporate fairness stakeholder engagement for Meta is critical. The focus of this section is the job cuts can affect lower-level employees while executives receive increased financial incentives. Bartlett (2023, p. 163) underscores that effective leadership requires balancing financial incentives with ethical responsibility.

Communication with stakeholders

To enhance stakeholder engagement without resorting to controversial business decisions, Meta can adopt a comprehensive communication strategy that emphasises transparency and inclusivity. Developing a well-defined communication plan is essential for effective stakeholder engagement, since it conveys the goals of communication efforts, identifies target audiences, specifies the channels and methods to be used, and sets a timeline for implementation. Tailoring this plan to the specific needs and expectations of stakeholders ensures that communication is both relevant and effective (Askel Sustainability Solutions, 2024).

Openness and feedback

By proactively addressing stakeholder concerns and fostering open dialogues, Meta can build trust and strengthen its reputation, consequently mitigating potential conflicts and aligning business practices with stakeholder expectations. The governance model of Meta incorporates stakeholder feedback, particularly regarding AI ethics and misinformation management. Through partnerships with external fact auditors, the company ensures that AI-generated content aligns with public interest and community standards (Meta, 2024).

2.4 Social and Ethical Issues derived from Data and AI

This section comments on relevant challenges on the usage of Data and AI as reported by different sources, considering key implications for users and their communities.

Privacy and inclusion

A relevant major ethical concern is data privacy and user manipulation. Meta has been involved in several scandals, most notably the Cambridge Analytica data breach, where user data was used for political advertising without consent as discussed by Zuboff (2019, p. 211). Previous research indicates that algorithmic decision-making can reinforce systemic biases and contribute to the marginalisation of certain communities as argued by Benjamin (2019, p. 41). Regarding this matter, one of the most relevant cases is the impact of news feed algorithms reflecting what most of the users consume which in turn might neglect the needs of minority groups.

Content Moderation

Meta's implementation of generative AI (GenAI) raises significant strategic and ethical concerns. It also brings additional concerns on AI-driven content moderation and its implications on bias, surveillance, and ethical AI deployment (Noble, 2018, p. 120). Pisano (2019, p. 12) similarly, states that while innovative cultures embrace risk, they must also establish robust mechanisms to mitigate ethical lapses. Tegmark (2017, p.

154) warns that AI's rapid progression could leave behind ethical safeguards, leading to unintended societal consequences. Consequently, this might lead to society facing new challenges since AI moves faster than other entities capable of regulating it.

Furthermore, content moderation and misinformation remain persistent ethical challenges. The company's reliance on artificial intelligence for moderation has been considered limited on reducing the spread of harmful content (Gillespie, 2018, p. 66). This a relevant topic considering recent changes in content moderation since January 2025 due to major shifts in politics and government agendas. Next are described some relevant frameworks and schemes to counteract the AI challenges at organisational level.

2.5 Ethical Frameworks

The course presented relevant frameworks on ethics, specifically towards authenticity and normative approaches (Learmount & Stiles, 2025c). Ismail, Malone, and Van-Geest (2014, p. 98) sustain that exponential organisations (as Meta) must adopt ethical AI frameworks to ensure technological growth does not come at the cost of social equity. Next, are the frameworks and relevant actions that Meta has committed to address.

Authenticity Framework

Tapscott and Williams (2006, p. 73) highlight that transparency and user trust are key to digital corporate success, an area where Meta continues to face challenges. Russell-Walling (2007, p. 102) suggests that proactive corporate ethics, rather than reactive responses to crises, are essential in maintaining public trust. To counteract these risks, Meta focuses through an authentic approach on educating users, implementing stronger AI detection mechanisms (Meta, 2024). By applying the learnings of the course, it would be expected from stakeholders' point of view to keep track of both the news and responses from Meta towards measuring the authenticity of the respective outcomes to then drive constructive conversations with senior leadership.

Normative Framework

This framework is based on how an organisation like Meta can follow guidelines and standards rooted fairness, legislation and accountability. For instance, best practices in AI governance recommend independent oversight mechanisms to ensure compliance with ethical data use as presented by Cihon, Schuett and Baum (2021, p. 17). Meta acknowledges the risks associated with AI-generated content and misinformation (Meta, 2024) hence it has defined new normative internal approaches to track reduction on misinformation and collaborating with policymakers (Meta 2024). In this context, managers at Meta should be further empowered with well-defined guidelines to take ethical decisions aiming to keep the best interests of the users and their respective communities.

Behavioural Framework

This framework is focused on how Meta could take critical decisions based the psychology and behaviour of their users. For instance, to improve its GenAI strategy, Meta should align its AI initiatives with ethical guidelines that prioritise user benefits and behaviour, as suggested by Clark (2023, p. 76). Clark highlights that AI can be used to support learning and development when designed with inclusivity in mind. By enhancing AI literacy among users and employees, Meta can build trust and enable responsible AI deployment. Additionally, Marr (2024, p. 112) suggests that AI applications should focus on social good, such as improving access to education, healthcare, and online safety, rather than solely maximising engagement and profit. Cihon, Schuett, and Baum (2021, p. 12) recommend that AI governance structures within corporations incorporate multi-stakeholder perspectives from behavioural factors to ensure AI development aligns with public interest.

2.6 Defining Corporate Governance Controls

As covered during the course, firms with strong governance frameworks (Learmount & Stiles, 2025d) are better equipped to manage workforce relations and mitigate reputational risks associated with layoffs. Based on those frameworks Meta can reconcile the recent compensation and layoff actions with its mission stated earlier in this work. The technology giant can enhance its credibility through both internal and external controls:

Internal Controls

a) Board of Directors: The board should ensure that executive compensation aligns with long-term company performance and stakeholder interests. Implementing performance metrics tied to community-building digital initiatives can demonstrate commitment to Meta's mission.

b) Internal Audit: Conducting regular audits to assess the impact of layoffs on remaining employees and overall company culture can provide insights into maintaining a supportive environment, essential for fostering community within the organisation. For instance, measure how new AI tools increase efficiency for writing, testing and deploying new code for developers (Winbuzzer, 2024).

c) Executive Compensation: If executive bonuses have increased to 200%, these need to be linked to the overall wellbeing of the organisation and the ecosystem it serves. Full ownership of the outcomes end to end is critical for overall strategic success as demonstrated by Willink and Babin (2015, pp. 166-168). It is required to own and deliver on metrics such as employee satisfaction, community engagement, AI ethical enablement and social impact. This implies full alignment of leadership incentives with the Meta's mission previously stated.

d) Risk/Compliance: Establishing robust compliance programs to monitor and mitigate risks associated with workforce reductions and public perception can help maintain trust among stakeholders.

External Controls:

a) Shareholder Activism: Engaging with shareholders who advocate for equitable compensation practices and ethical governance can pressure Meta to align its actions with its stated social and community integration commitments.

b) Regulation: Adhering to labour laws and regulations ensures fair treatment of employees, reinforcing the company's commitment to building a positive community.

c) Media: Transparent communication with media outlets about the rationale behind compensation and layoff decisions can help manage public perception and demonstrate accountability.

d) External Audit: Engaging independent auditors to review and report on the company's compensation practices and their alignment with corporate values can provide objective assessments to stakeholders (The Institute of Internal Auditors, 2009).

By implementing the controls mentioned above, Meta can work towards aligning its internal practices with its mission. This will enhance credibility and fostering a culture that truly empowers users, managers, stakeholders and communities.

2.7 Enabling transparent and effective governance

To strengthen its corporate governance and ensure long-term sustainability, Meta could adopt a more inclusive and transparent governance framework. This can be achieved through greater board independence, enhanced stakeholder engagement, and sustainable business practices as presented next.

I. Firstly, board independence is crucial for corporate accountability. Lipton, Cain, and Rosenblum (2023, p. 8) state that effective governance requires active risk oversight, particularly concerning AI governance and ethical decision-making. Meta could, for instance, hire independent directors with expertise in digital ethics, AI governance, and sustainability to balance executive influence.

II. Secondly, stakeholder engagement must be prioritised. As covered during the course, the growing importance of stakeholder capitalism needs to be addressed since corporations consider the long-term interests of employees, customers, and communities (Learmount and Stiles, 2025d). Meta can improve its governance by increasing transparency in decision-making and incorporating stakeholder input into corporate strategies.

III. Lastly, sustainable business practices should be deeply integrated into Meta's operational model. Cihon, Schuett, and Baum (2021, p. 12) suggest that AI corporations should establish multi-stakeholder governance structures to

ensure responsible AI deployment and long-term social benefits. Meta must go beyond regulatory compliance and implement stringent ethical AI standards that align with sustainability goals.

By acting on these measures, Meta can strengthen its corporate governance framework, mitigate reputational risks, and ensure long-term sustainability while fostering stakeholder trust. Owen (2018, p. 145) emphasises that genuine corporate responsibility requires consistent, measurable progress rather than superficial aspirations. Hence, the actions presented above could be tracked with clear Objectives and Key Results to be presented to both stakeholders, users and employees.

3. Conclusion

Meta leads social networks around the world through their innovation; however, recent executive compensation increases, and workforce reductions have raised ethical and governance concerns. Its executive compensation policies highlight a disconnect between corporate leadership and employee welfare, raising concerns about governance effectiveness. This work has explored Meta's corporate governance structure, analysing its board leadership, financial compensation policies, and ethical implications of AI deployment.

Considering its leadership in technology, and to maintain its credibility and alignment with its mission, Meta must implement robust governance frameworks. These frameworks on governance, ethics and stakeholder engagement were introduced during the course and discussed in this assessment. Enhancing board independence, internal audits, and executive compensation alignment with long-term objectives will reinforce ethical leadership. Strengthening stakeholder engagement, ensuring transparent communication, and following to ethical AI principles are crucial in addressing scrutiny from the stakeholders, user and wider community.

Furthermore, adopting sustainable business practices and ensuring regulatory compliance will safeguard Meta's long-term corporate integrity and reputation. While AI presents new ethical challenges, proactive governance and ethical AI frameworks can mitigate risks. By fostering transparency, accountability, and inclusivity, Meta can balance innovation with responsibility, ensuring sustainable growth and community trust.

Overall, Meta must enhance corporate accountability, ethical leadership, and consistent business practices to maintain credibility and stakeholder trust. Hence, a transparent governance structure, ethical leadership, and meaningful stakeholder engagement will be pivotal for Meta to sustain its competitive edge while embracing its mission to connect communities and build a more inclusive digital world.

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